

THE GAZETTE OF INDIA
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PART –III – SECTION 4
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SECURITIES AND EXCHANGE BOARD OF INDIA
NOTIFICATION

Mumbai, the 18th of November , 2013

**SECURITIES AND EXCHANGE BOARD OF INDIA (SELF REGULATORY
ORGANIZATIONS) (SECOND AMENDMENT) REGULATIONS, 2013.**

No. LAD-NRO/GN/2013-14/31/6883.-In exercise of the powers conferred by section 30 of the Securities and Exchange Board of India Act, 1992 (15 of 1992), the Board hereby makes the following regulations to amend the Securities and Exchange Board of India (Self Regulatory Organizations) Regulations, 2004, namely:-

1. These regulations may be called the Securities and Exchange Board of India (Self Regulatory Organizations) (Second Amendment) Regulations, 2013.
2. They shall come into force on the date of their notification in the Gazette of India.
3. In the Securities and Exchange Board of India (Self Regulatory Organizations) Regulations, 2004,—
 - (i) in regulation 3, in sub-regulation (1),-
 - (a) in the proviso, for the full stop the symbol ":" shall be substituted;
 - (b) after the proviso, the following new proviso shall be inserted, namely-

"Provided further that the Board may, in case of distributors engaged by asset management companies of mutual funds, grant certificate of recognition to only one group or association making an application under this regulation."
 - (ii) in regulation 4, for clause (i), the following clause shall be substituted, namely-

"(i) the applicant is a fit and proper person based on the criteria specified in Schedule II of the Securities and Exchange Board of India (Intermediaries) Regulations, 2008;"

(iii) after regulation 4, the following new regulation shall be inserted, namely-

"Grant of in-principle approval.

4A. Where the applicant is not in compliance with the provisions of clauses (c), (d) or (h) of regulation 4, on the date of submission of the application under regulation 3, the Board may grant an in-principle approval to the applicant, which shall be valid for a period of one hundred and eighty days, within which the applicant shall ensure compliance with all provisions of regulation 4:

Provided that the Board may, upon sufficient cause shown by the applicant, extend the validity of the in-principle approval for a further period not exceeding ninety days."

(iv) in regulation 6, for the words "Any application", the words and symbol "Subject to the provisions of regulation 4A, any application" shall be substituted.

**U. K. SINHA
CHAIRMAN**

SECURITIES AND EXCHANGE BOARD OF INDIA

Footnote:

1. The SEBI (Self Regulatory Organizations) Regulations, 2004, were published in the Gazette of India on 19th February, 2004 vide F.No. SEBI/LAD/DOP/3348/2004.

2. The SEBI (Self Regulatory Organizations) Regulations, 2004 were subsequently amended on 7th January, 2013 by the SEBI (Self Regulatory Organizations) (Amendment) Regulations, 2013 vide No. LAD-NRO/GN/2012-13/27/5469.